

notice. A bear trader's unseen foe is the long-term investor, just as a bull operator's nemesis is the genuine seller.

As the market had kept falling over a long period of time, traders who went long in the futures market kept incurring losses. So did the short-term investors who had bought shares hoping to cash out within a month or two for a decent profit. The presence of these two categories of investors in the market had now dwindled as continuous losses drove many of them away. In their place had begun to enter investors who were willing to buy and wait it out for a year or two, or even longer. They included HNIs, promoters buying through fronts, and sometimes even the contrarians among retail investors. None of these investors buy aggressively, so it is hard to detect their presence. The market sees this trend as 'shares passing from weak hands to strong hands'. As a result of this buying, the floating stock in the market had slowly begun to decline. Most of the players who wanted to sell out had done so and the shares now rested with players who took a long-term view of their purchases. Not recognizing these subtle changes, the bears had unknowingly ventured into enemy territory through sheer overconfidence. Once prices started to climb, the rise would be sharp because of the absence of enough sellers to blunt it. And that would make it hard for the bears to cover their short positions without sending prices shooting up.

That is exactly what happened with Old Fox, who failed to realize that his opponents had changed. He was spot on when he had predicted the previous year that the market had peaked out. But he misread the signals as the market reversed trend. By mid-April, the Nifty was sniffing at 3,500 and the Sensex had topped 11,200. The bears were taken by surprise. Partly, it was their frantic short-covering of positions that added fuel to the fire and pushed up share prices.

Old Fox had to cover a part of his short positions at a loss as prices flared up. But to his credit, the Fox knew when he had been beaten and would not stick to a market view just to prove a point. He squared off his short positions and began building long positions quickly.

My winning streak that had begun in January last year, continued. I steadily increased the size of my trades and watched the profits pour in.

There was still one major hurdle for the market to cross – the Lok Sabha elections. Political analysts and psephologists continued to predict a hung parliament, and there was no strong reason to believe otherwise. Media